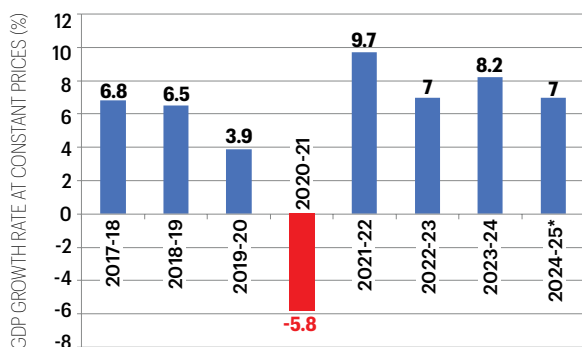


INDIA'S ECONOMY TO SLOW DOWN IN FY25

- ▶ GDP growth seen at 7% or less this fiscal
- ▶ Moderating urban demand, slowing investments to impact growth in FY25

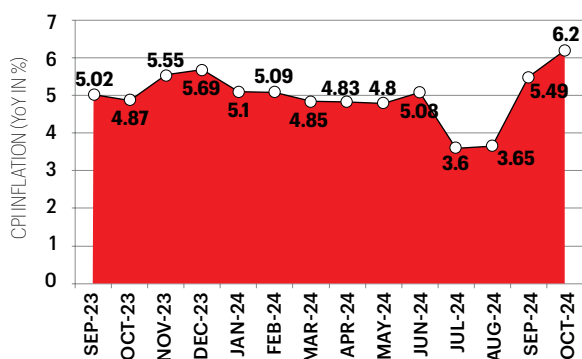


*ESTIMATED

SOURCE MoSPI

INFLATIONARY PRESSURES PERSIST

- ▶ Retail inflation rose to 6.2% in October 2024
- ▶ A rate cut by the Reserve Bank of India may be delayed to early 2025



SOURCE MoSPI

ginally lower than the previous year.

“Looking ahead, there remains potential for recovery in public capex during the remainder of the fiscal year. On the private capex front, there is encouraging order book scenario of the capital goods and infrastructure sectors, and this could be indicative of a likely pick up in capex in other sectors going forward,” says Sinha.

The government is also closely watching the devel-

opments in the US as well as the conflict in the Middle East that could impact oil prices if it escalates further, Sinha says. However, with Trump’s focus on more drilling, there is expectation that the US will increase crude oil production and global oil prices will remain low.

The average price of India’s crude oil basket remains comfortably placed at \$73.1 (as on November 25), against the RBI’s baseline assumption in the April monetary policy review of \$85 per barrel in FY25.

But crude oil isn’t the only factor that impacts inflation in India, as has been evident in the past few years with food prices, especially vegetables, remaining stubbornly high. In October 2024, retail inflation as measured by the consumer price index rose to a 14-month high of 6.2% and vegetable inflation was at a 57-month high of 42.2%. The latest projections are likely to further delay a rate cut by the RBI’s Monetary Policy Committee (MPC), which will be meeting between December 4 and 6.

“Current trends suggest that inflation in the second half of FY25 may exceed the RBI’s October projections, potentially delaying the start of a rate-cutting cycle,” Sinha of CareEdge says, adding that the agency anticipates that headline inflation will fall below 5% by Q4FY25, driven by a moderation in food inflation. “This would create an opportunity for the MPC to consider a 25-bps reduction in policy rates in February meeting,” she says.

Monetary policy will also depend on developments in the US, as higher spending and inflation could keep the US Federal Reserve from its easing cycle.

“The US economy at the current juncture has been performing well with robust growth and lower unemployment levels. The proposed tax would result in higher demand, while the higher tariff will turn out to be inflationary... Overall, such policies will strengthen the dollar, push bond yield higher given the expansionary fiscal measures and could even drive capital inflows,” said Jahnvi Prabhakar, Economist at Bank of Baroda, in a recent note, adding that this will lead to volatility in the bond and forex markets.

When and how these proposals are implemented are also a key monitorable for policymakers in India. Finance ministry officials have underlined that maintaining the growth momentum and ensuring price stability will continue to be the guiding principle as the government finalises the contours of the next Union Budget.

The next few months will set the stage for how the US government moves ahead on its economic agenda and India’s policy responses to the myriad issues the economy is grappling with. Watch this space. **BT**

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